

HOUSING FINANCE



UNAUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 30 JUNE 2008

Housing
Finance

Turning dreams into homes

I BALANCE SHEET	GROUP				COMPANY			
	30.06.2008 Unaudited (Ksh'000)	31.03.2008 Unaudited (Ksh'000)	31.12.2007 Audited (Ksh'000)	30.06.2007 Unaudited (Ksh'000)	30.06.2008 Unaudited (Ksh'000)	31.03.2008 Unaudited (Ksh'000)	31.12.2007 Audited (Ksh'000)	30.06.2007 Unaudited (Ksh'000)
A. ASSETS								
1 Cash and bank balances	1,216,427	349,079	116,604	115,345	1,216,369	349,032	116,564	115,134
2 Balances due from Central Bank of Kenya	-	-	-	-	-	-	-	-
3 Government securities	478,415	472,728	478,590	598,218	478,415	472,728	478,590	598,218
4 Foreign Currency Treasury bills and bonds	-	-	-	-	-	-	-	-
5 Deposits and balances due from banking institutions	1,535,282	1,437,939	1,344,578	1,195,449	1,535,282	1,437,939	1,344,578	1,195,449
6 Deposits and balances due from banking institutions abroad	-	-	-	-	-	-	-	-
7 Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
8 Tax recoverable	34,120	-	3,656	33,733	14,536	-	-	13,459
9 Loans and advances to customers (net)	8,921,490	8,283,288	7,746,060	7,017,989	8,921,490	8,283,288	7,746,060	7,017,989
10 Investment securities	-	-	-	-	-	-	-	-
11 Balances due from group companies	-	-	-	-	-	-	-	-
12 Investment in associates	-	-	-	-	-	-	-	-
13 Investment in subsidiary companies	-	-	-	-	130,020	130,020	130,020	130,020
14 Investment in Joint ventures	-	-	-	-	-	-	-	-
15 Investment properties	-	-	-	-	-	-	-	-
16 Property and equipment	353,294	357,477	363,742	353,079	347,031	351,195	357,440	346,703
17 Prepaid operating lease rentals	50,223	50,384	50,545	50,914	42,864	42,980	43,094	43,302
18 Intangible assets	20,034	25,362	30,691	40,442	19,954	25,278	30,601	40,442
19 Deferred tax asset	62,277	62,277	62,277	52,669	9,670	9,670	9,670	-
20 Retirement benefit asset	-	-	-	-	-	-	-	51,967
21 Other assets	250,117	206,635	172,512	204,717	226,777	187,432	157,923	112,317
22 TOTAL ASSETS	12,921,679	11,245,169	10,369,255	9,662,555	12,942,408	11,289,562	10,414,540	9,665,000
B. LIABILITIES								
23 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
24 Customer deposits	9,225,313	9,443,427	8,776,826	8,010,302	9,235,297	9,457,474	8,787,945	8,015,411
25 Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-
26 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
27 Other money market deposits	-	-	-	-	-	-	-	-
28 Borrowed funds	849,900	150,000	-	-	849,900	150,000	-	-
29 Balances due to group companies	-	-	-	-	16,236	18,334	19,655	6,345
30 Tax payable	-	4,588	-	-	-	24,386	17,379	-
31 Dividends payable	28,750	-	-	-	28,750	-	-	-
32 Deferred tax liability	-	-	-	28,300	-	-	-	29,496
33 Retirement benefit liability	-	-	-	-	-	-	-	-
34 Other liabilities	1,359,125	183,025	146,158	207,672	1,345,124	163,052	129,593	201,087
35 TOTAL LIABILITIES	11,463,088	9,781,040	8,922,984	8,246,274	11,475,307	9,813,246	8,954,572	8,252,339
C. SHAREHOLDERS' FUNDS								
36 Paid up capital	575,000	575,000	575,000	575,000	575,000	575,000	575,000	575,000
37 Share premium	25,705	25,705	25,705	25,705	25,705	25,705	25,705	25,705
38 Revaluation reserve	193,418	193,418	193,418	193,418	193,418	193,418	193,418	193,418
39 Retained earnings	167,799	163,147	125,141	116,479	176,309	175,334	138,838	112,859
40 Statutory Loan Loss Reserve	445,919	427,359	447,507	454,929	445,919	427,359	447,507	454,929
41 Proposed dividends	-	28,750	28,750	-	-	28,750	28,750	-
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	1,458,591	1,464,129	1,446,271	1,416,281	1,467,101	1,476,316	1,459,968	1,412,661
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	12,921,679	11,245,169	10,369,255	9,662,555	12,942,408	11,289,562	10,414,540	9,665,000
II INCOME STATEMENT	GROUP				COMPANY			
	30.06.2008 Unaudited (Ksh'000)	31.03.2008 Unaudited (Ksh'000)	31.12.2007 Audited (Ksh'000)	30.06.2007 Unaudited (Ksh'000)	30.06.2008 Unaudited (Ksh'000)	31.03.2008 Unaudited (Ksh'000)	31.12.2007 Audited (Ksh'000)	30.06.2007 Unaudited (Ksh'000)
1 INTEREST INCOME								
1.1 Loans and advances	494,114	233,198	857,587	423,972	494,114	233,198	857,587	423,972
1.2 Government Securities	15,692	7,934	38,661	20,873	15,692	7,934	38,661	20,873
1.3 Deposits and Placements with banking institutions	53,476	26,929	84,341	36,993	53,471	26,925	84,262	36,942
1.4 Other interest income	-	-	-	-	-	-	-	-
1.5 Total Interest Income	563,282	268,061	980,589	481,838	563,277	268,057	980,510	481,787
2 INTEREST EXPENSES								
2.1 Customers' Deposits	203,892	94,919	292,941	130,803	203,892	94,919	292,941	130,803
2.2 Deposits and placements from banking institutions	-	-	-	-	-	-	-	-
2.3 Other interest expenses	16,014	1,186	4,187	2,093	16,014	1,186	4,187	2,093
2.4 Total Interest expenses	219,906	96,105	297,128	132,896	219,906	96,105	297,128	132,896
3 NET INTEREST INCOME	343,376	171,956	683,461	348,942	343,371	171,952	683,382	348,891
4 OTHER OPERATING INCOME								
4.1 Fees and commissions on loans and advances	34,796	15,410	57,527	27,332	34,796	15,410	57,527	27,332
4.2 Other fees and commissions	50,558	21,819	13,432	5,069	38,372	16,852	13,432	5,069
4.3 Foreign exchange trading income	-	-	-	-	-	-	-	-
4.4 Dividend income	-	-	-	-	-	-	20,000	-
4.5 Other income	24,123	11,749	106,077	51,836	21,814	10,770	99,020	51,836
4.5 Total Non interest income	109,477	48,978	177,036	84,237	94,982	43,032	189,979	84,237
5 TOTAL OPERATING INCOME	452,853	220,934	860,497	433,179	438,353	214,984	873,361	433,128
6 OPERATING EXPENSES								
6.1 Loan loss provision	44,620	21,623	74,792	39,826	44,620	21,623	74,792	39,826
6.2 Staff costs	202,560	100,425	365,633	188,958	198,614	98,854	363,430	188,958
6.3 Directors emoluments	3,000	1,490	25,285	3,050	3,000	1,490	25,285	3,050
6.4 Rental charges	5,556	2,750	8,334	12,125	5,556	2,750	8,334	12,125
6.5 Depreciation on property and equipment	24,717	11,725	27,302	16,323	24,707	7,320	27,228	16,323
6.6 Amortisation charges	1,974	987	22,522	11,086	1,846	5,323	22,334	11,086
6.7 Other operating expenses	111,456	55,833	223,232	99,192	108,748	54,269	221,235	97,496
6.8 Total Other Operating Expenses	393,883	194,833	747,100	370,560	387,091	191,629	742,638	368,864
7 Profit before tax and exceptional items	58,970	26,101	113,397	62,619	51,262	23,355	130,723	64,264
8 Exceptional items	-	-	-	-	-	-	-	-
9 Profit before tax but after exceptional items	58,970	26,101	113,397	62,619	51,262	23,355	130,723	64,264
10 Current tax	(17,900)	(8,243)	(59,799)	(19,203)	(15,379)	(7,308)	(58,318)	(19,279)
11 Deferred Tax	-	-	19,910	-	-	-	19,887	-
12 Profit After Tax and exceptional items	41,070	17,858	73,508	43,416	35,883	16,047	92,292	44,985
DISCLOSURES	GROUP				COMPANY			
	30.06.2008 Unaudited (Ksh'000)	31.03.2008 Unaudited (Ksh'000)	31.12.2007 Audited (Ksh'000)	30.06.2007 Unaudited (Ksh'000)	30.06.2008 Unaudited (Ksh'000)	31.03.2008 Unaudited (Ksh'000)	31.12.2007 Audited (Ksh'000)	30.06.2007 Unaudited (Ksh'000)
III 1 Non-Performing Loans and Advances								
a) Gross non-performing loans and advances	2,301,855	2,457,886	2,624,886	3,162,099	2,301,855	2,457,886	2,624,886	3,162,099
b) Less: Interest in Suspense	986,092	1,059,917	1,180,157	1,494,493	986,092	1,059,917	1,180,157	1,494,493
c) Total Non-Performing loans and advances (a-b)	1,315,763	1,397,969	1,444,729	1,667,606	1,315,763	1,397,969	1,444,729	1,667,606
d) Less: Loan loss provisions	359,044	401,620	408,903	432,535	359,044	401,620	408,903	432,535
e) Net non-performing loans and advances(c-d)	956,719	996,350	1,035,826	1,235,071	956,719	996,350	1,035,826	1,235,071
f) Discounted value of securities	956,719	996,350	1,035,826	1,235,071	956,719	996,350	1,035,826	1,235,071
g) Net Exposure(e-f)								
	-	-	-	-	-	-	-	-
2 Insider loans and advances								
a) Directors, shareholders and associates	-	-	-	-	-	-	-	-
b) Employees	241,266	260,491	255,195	231,847	241,266	260,491	255,195	231,847
c) Total insider Loans and Advances	241,266	260,491	255,195	231,847	241,266	260,491	255,195	231,847
	-	-	-	-	-	-	-	-
3 Off-Balance Sheet items								
a) Letters of credit, guarantees and acceptances	5,710	5,710	6,686	6,746	5,710	5,710	6,686	6,746
b) Other contingent liabilities	-	-	-	-	-	-	-	-
c) Total contingent liabilities	5,710	5,710	6,686	6,746	5,710	5,710	6,686	6,746
	-	-	-	-	-	-	-	-
4 Capital Strength								
a) Core capital	-	-	-	-	759,072	768,016	739,543	691,071
b) Minimum Statutory Capital	-	-	-	-	250,000	250,000	250,000	250,000
c) Excess/Deficiency	-	-	-	-	509,072	518,016	489,543	441,071
d) Supplementary capital	-	-	-	-	180,215	173,534	169,584	166,040
e) Total capital (a+d)	-	-	-	-	939,288	941,549	909,127	857,111
f) Total risk weighted assets	-	-	-	-	6,488,856	5,954,323	5,638,324	5,354,876
g) Core capital /Total deposit liabilities	-	-	-	-	8.22%	8.12%	8.42%	8.62%
h) Minimum Statutory Ratio	-	-	-	-	8.00%	8.00%	8.00%	8.00%
i) Excess/Deficiency	-	-	-	-	0.22%	0.12%	0.42%	0.62%
j) Core capital /Total risk weighted assets	-	-	-	-	11.70%	12.90%	13.12%	12.91%
k) Minimum Statutory Ratio	-	-	-	-	8.00%	8.00%	8.00%	8.00%
l) Excess/Deficiency (j-k)	-	-	-	-	3.70%	4.90%	5.12%	4.91%
m) Total capital /Total risk weighted assets	-	-	-	-	14.48%	15.81%	16.12%	16.01%
n) Minimum Statutory Ratio	-	-	-	-	12.00%	12.00%	12.00%	12.00%
o) Excess/Deficiency (m-n)	-	-	-	-	2.48%	3.81%	4.12%	4.01%
5 Liquidity								
a) Liquidity Ratio	-	-	-	-	31.41%	20.82%	20.00%	23.25%
b) Minimum Statutory Ratio	-	-	-	-	-	20.00%	20.00%	20.00%
c) Excess(Deficiency) (a-b)	-	-	-	-	11.41%	0.82%	0.00%	3.25%